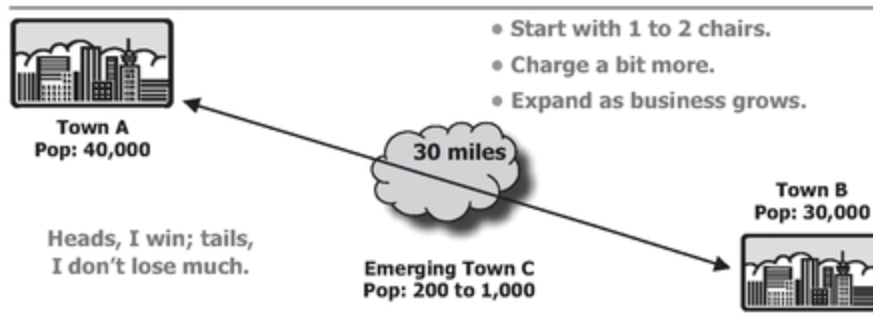




It looks like a new township is emerging, and these people have to drive to either Town A or Town B for a haircut because Town C is a brand-new city and there are no barbers in the city. Our barber starts thinking that it takes an hour to drive back and forth, \$4 to \$5 of gas, wear and tear on one's car, and so on. He thinks that, maybe, if there were a barbershop in Town C, people would go there.

He has no money, so he goes to Town C and finds a rundown, dilapidated storefront. He subleases it month to month from the current tenant, paying way below market, and puts in the rudimentary things that you'd find at a barbershop. It has just a single barber chair. He hangs up a homemade sign outside and goes to work. He calculates that the invested capital is so low that if it doesn't work, he can go back full-time to his old job with little financial loss. He further reduces downside by working part-time at his old job and part-time at the new business until he has a steady clientele. If it works, he has a shot at being his own boss and having his own little business.

Humans are creatures of habit. We shave the same side of the face first every day, we comb our hair the same way, and we also don't change our barber every month. Once he's setup in Town C, he starts getting repeat clients and revenues. He could even be slightly inferior or charge a bit more relative to the barbers in the other town, but you might still go to him as a critical time-saver. Gradually, this dilapidated, single-chair barbershop gets packed with customers. He improves the infrastructure and ambiance, puts in another chair, hires another barber, and begins to scale the business. He gets so busy after the first few weeks that he resigns from his old job in less